

Raising estimates again

We raise estimates again after Q2's significant auto volume beat. The strength of Q2 volume in China and Europe seems to validate both the unique value proposition of Tesla vehicles and the risk of vehicle commoditization over time. Underproduction should help Q2 cash flow but low implied Cybercab output also suggests more delays in ramping up Robotaxis. We raise Q2 EBIT to \$1.45bn (5.1% margin), outer years' EBIT by ~ 6% and PT to \$400.

Volume performance in Q2 beat the most optimistic expectations, confirming the value proposition of Tesla vehicles in terms of price and efficiency despite relatively modest product innovation in recent years. This in turn appears to validate Tesla's view on cars becoming commodities and the logic of winding down investment in personal vehicles, but not too fast pending new growth areas.

With reported Q2 deliveries (480.1k units, o/w Models 3/Y 467.8k) largely exceeding consensus of 406k and the 415k estimates we had set mid June, we increase auto revenue further to \$21bn including \$250m and \$500m for ZEV and Leasing. Non repeat of Q1's fx and warranty benefit should keep Auto GM slightly below Q1 (JEFe 18%). Slightly better BESS deployment helps take our group revenue to \$28.7bn and Group EBIT to \$1.45bn. We assume cash burn \$3.0bn on capex climbing \$6.9bn, implying a slower ramp in capex and some WC easing after Q1 inventory build, translating into liquidity ~\$41.7bn. Apparent low unit production of Cybercab (Production/deliveries of 8,822/12,364 units respectively in "Others") suggest the scaling robotaxis is not imminent.

We raise FY 2026 EBIT 4% to \$6.2bn factoring higher volume partly driven by higher priced LWB Model Y, and keep FCF outflow ~\$7.5bn including capex of \$23bn. We raise outer years EBIT ~6% and remain below consensus by continuing to factor losses from Robotaxis and Optimus in early years.

The relationship between earnings and valuation remains tenuous at best but the multi-year deterioration of growth and earnings has started to reverse. We appreciate the vision of Space X and Tesla as proxies for long-term US strategies of independence and leadership in space, energy, manufacturing or semiconductors. We continue to see logic in a merger with SpaceX, on a relatively short timeframe to avoid potential delays in joint investments. At current prices, we calculate a nil-premium merger would translate into Elon Musk retaining a 55.3% voting stake in the combined entity, leaving room for a potential premium for Tesla shareholders.

FY (Dec)	2025E	2026E	2027E	2028E
Rev. (MM)	94,827.0	104,863.3	123,711.8	139,403.1
Cons. Rev.	94,124.9	114,701.3	131,593.6	-
EBIT (MM)	4,355.0	6,202.7	7,777.3	8,323.4
Cons. EPS	1.40	2.47	3.07	-

TARGET | ESTIMATE CHANGE

RATING	HOLD
PRICE	\$407.76 ^a
PRICE TARGET % TO PT	↑\$400.00 (\$375.00) -2%
52W HIGH-LOW	\$498.83 - \$297.82
FLOAT (%) ADV MM (USD)	74.5% 18,922.57
MARKET CAP	\$1.4T
TICKER	TSLA

^aPrior trading day's closing price unless otherwise noted.

FY (Dec)	CHANGE TO JEF ^e		JEF vs CONS	
	2025	2026	2025	2026
REV	NA	NM	+1%	-9%
EPS	NA	+3%	-23%	-38%

2025 (\$)	Q1	Q2	Q3	Q4	FY
EPS	--	--	--	--	1.08
PREV					

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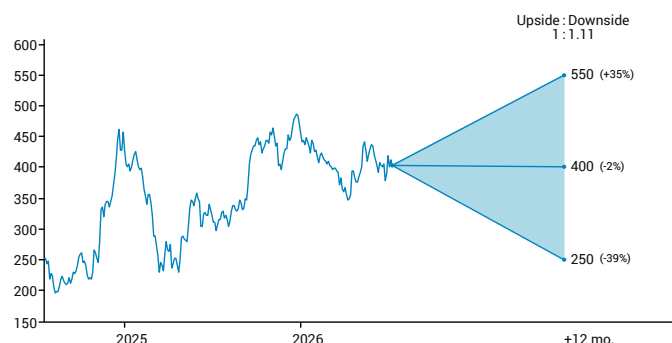
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The Long View: Tesla, Inc.

Investment Thesis

- TSLA's operating performance confirms that the EV gap with Legacy OEMs is stagnating and still reducing vs Chinese competitors. However, growth has picked up on competitive pricing.
- The IPO of SpaceX is likely to lead to a merger as strategies converge, investment needs are high and Elon Musk seems determined to maintain controlling voting stakes.
- Shares have been pricing a successful Robotaxi business which is now emerging slowly
- We believe TSLA can self-fund developments in AI (FSD, Dojo), Optimus robots, and stationary storage.
- Governance remains a significant risk.

Risk/Reward - 12 Month View



Base Case, \$400, -2%

- TSLA has made SDVs and BEVs both possible and mainstream. Part of a broader strategic mission Tesla is attempting to lead in energy storage, Robotaxis and Humanoids.
- The process is not smooth and Tesla has been ex-growth for 3 years and seen a sharp decline in EBIT/FCF with re-investment set to drive -ve FCF.
- Vision and tech innovation have disconnected valuation from operating performance.
- \$400 PT - Mix on DCF-based auto/manufacturing activities and EV/sales multiples for Robotaxi business model, Energy, and peer transaction for Optimus.

Upside Scenario, \$550, +35%

- Continued breakthrough in battery tech/cost improves hardware gross margin >20% and return to DD OP margin.
- Validation of FSD through autonomy and scaling of a vertically integrated robotaxi business model Acceleration of FCF generation through improved working capital or stabilization of capex.

Downside Scenario, \$250, -39%

- Product competition negatively affects sales and residual values.
- Expansion capex requirement in excess of \$20bn in 2026-27 to fund growth (no capex productivity improvement).
- Further delays in achieving autonomous driving
- Tesla no longer self-funded and needs to raise capital
- EBIT margin durably <5%

Sustainability Matters

Top Material Issue(s): 1) TSLA is leading the industry's transition to cleaner energy through EV powertrains, but also with a new model on vertical integration, product design (structural battery), low product complexity (product range and options), and streamlined manufacturing all contributing to resource and capital efficiency. Battery efficiency and cost reduction are critical to a shift to more renewable sources of energy. As a frontrunner in the development of autonomous driving, TSLA has incurred a number of delays. 2) Governance remains a concern, from a lack of oversight, a concentration of power, and unconventional communication from CEO Elon Musk.

Company Target(s): 1) Aim to sell 20m EVs per year by 2030 and deploy 1,500 GWh of energy storage per year. 2) Accelerate transition to renewable energy, particularly solar, through the ecosystem.

Catalysts

- Launch of Robotaxi service to validate FSD as truly autonomous software.
- Validation of TSLA network (low capex/opex business model)
- Pace of growth in stationary and other applications
- Changes in governance and mgmt structure

Exhibit 1 - Changes in divisional estimates

	Actual	New	Old	% chg	New	Old	% chg	New	Old	% chg
Divisional breakdown	2025	2026e	2026e	2026e	2027e	2027e	2027e	2028e	2028e	2028e
Units	1,636,129	1,722,000	1,717,000	0.3%	1,953,000	1,828,000	6.8%	2,110,000	1,960,000	7.7%
ASP, \$k	41.7	42.5	42.1	0.9%	42.8	41.7	2.5%	42.0	40.9	2.6%
ZEV, \$m	1,993	1,000	1,000	-	500	500	-	300	300	-
Group Revenue	94,827	104,863	104,903	(0.0%)	123,712	113,930	8.6%	139,403	125,166	11.4%
Automotive	69,526	74,487	73,611	1.2%	83,977	76,711	9.5%	88,819	80,423	10.4%
Service & Other	12,530	15,066	16,304	(7.6%)	17,950	17,877	0.4%	19,920	19,598	1.6%
Energy generation and storage	12,771	15,131	14,989	0.9%	19,670	19,342	1.7%	25,571	25,145	1.7%
Robotaxis		180	180		1,215	1,215		3,594		
Humanoids		-	-		900	900		1,500		
Recurring EBIT	4,849	6,203	5,950	4.3%	7,777	7,444	4.5%	8,323	7,700	8.1%
Margin	5.1%	5.9%	5.7%	24bp	6.3%	6.5%	(25bp)	6.0%	6.2%	(18bp)
Non-recurring items incl in EBIT	(494)	-	-	-	-	-	-	-	-	-
GAAP EBIT	4,355	6,203	5,950	4.3%	7,777	7,444	4.5%	8,323	7,700	8.1%
FCF	6,220	(7,483)	(7,748)	(3.4%)	(6,159)	(4,971)	23.9%	(4,090)	(3,488)	17.2%

Source: Tesla, JEF

Exhibit 2 - Tesla - P&L estimates

P&L	2023	2024	2025	2026e	2027e	2028e
Group revenue	96,773	97,690	94,827	104,863	123,712	139,403
% change	18.8%	0.9%	-2.9%	10.6%	18.0%	12.7%
COGS	(79,113)	(80,240)	(77,733)	(82,826)	(98,739)	(113,236)
Gross profit	17,660	17,450	17,094	22,037	24,973	26,167
% revenue	18.2%	17.9%	18.0%	21.0%	20.2%	18.8%
P&L R&D	(3,969)	(4,540)	(6,411)	(7,865)	(8,784)	(8,922)
% revenue	4.1%	4.6%	6.8%	7.5%	7.1%	6.4%
SG&A	(4,800)	(5,150)	(5,834)	(7,970)	(8,412)	(8,922)
% revenue	5.0%	5.3%	6.2%	7.6%	6.8%	6.4%
EBIT	8,891	7,076	4,355	6,203	7,777	8,323
Margin	9.2%	7.2%	4.6%	5.9%	6.3%	6.0%
Net interest	910	1,219	1,342	1,359	1,168	1,045
Other	172	695	(419)	-	-	-
EBT	9,973	8,990	5,278	7,562	8,945	9,368
Tax	5,001	(1,837)	(1,423)	(2,155)	(2,549)	(2,670)
Tax rate	50.1%	20.4%	27.0%	28.5%	28.5%	28.5%
Net income	14,997	7,091	3,794	5,407	6,396	6,698
Minority	(23)	62	61	-	-	-
NOSH	3,485	3,498	3,528	3,528	3,528	3,528
EPS diluted, GAAP	4.30	2.03	1.08	1.53	1.81	1.90

Exhibit 3 - Cash flow and Balance sheet estimates

Industrial Cash flow	2023	2024	2025	2026e	2027e	2028e
Cash earnings	15,504	14,842	14,105	16,421	19,104	21,304
Net change in WC (operating)	824	3,442	3,485	(833)	(520)	(301)
Other	(3,072)	(3,361)	(2,843)	-	-	-
Operating cash flow	13,256	14,923	14,747	15,587	18,584	21,002
Capex, net	(8,899)	(11,348)	(8,527)	(23,070)	(24,742)	(25,093)
FCF	4,357	3,575	6,220	(7,483)	(6,159)	(4,090)
other investments	(6,685)	(7,445)	(6,951)	-	-	-
Distribution	-	-	-	-	-	-
fx	4	(141)	171	-	-	-
Change in net cash/(debt)	265	(158)	579	(7,483)	(6,159)	(4,090)
Net industrial liquidity (debt)	23,864	28,350	36,530	29,047	22,889	18,799

Group balance sheet	2023	2024	2025	2026e	2027e	2028e
Intangibles	431	394	381	381	381	381
PP&E	29,725	35,836	40,643	57,890	75,769	92,627
Operating leases	10,169	10,741	10,939	7,550	9,777	-
Other non-current assets	9,760	9,139	8,695	4,374	4,155	3,947
Inventories	13,626	12,017	12,392	13,615	15,960	17,994
Trade receivables	3,508	4,418	4,576	4,884	5,762	6,493
Cash & equivalents	16,398	16,139	16,513	9,030	2,872	(1,218)
Other financial assets	12,696	20,424	27,546	27,546	27,546	27,546
Other current assets	3,388	5,362	7,615	7,615	7,615	7,615
Total assets	106,618	122,070	137,233	137,363	153,438	170,637
Total debt	5,230	8,213	8,376	8,376	8,376	8,376
Trade payables	14,431	12,474	13,371	14,069	16,772	19,235
Other liabilities	24,224	28,696	34,324	33,516	34,135	35,072
Total equity	61,758	71,920	80,397	89,814	100,804	112,617

Source: Tesla, JEF

Company Description

Tesla, Inc.

TSLA manufactures fully electric passenger vehicles, sells battery storage units and has been developing autonomous vehicle technology as well as humanoid robots. As an OEM, TSLA is more vertically integrated than most peers and has been driving innovation for a number of years through the integration of software, industrial design, artificial intelligence and manufacturing efficiency. TSLA sells its vehicles and storage units directly to consumers. TSLA currently manufactures Models S and X, 3 and Y and Cybertruck in plants located in Fremont, Shanghai, Berlin and Austin. In 2024, TSLA sold ~1.8m vehicles. The company was founded in 2003 and is headquartered in Austin, Texas, USA.

Company Valuation/Risks

Tesla, Inc.

Price target based on DCF and also factoring in TSLA pursuing additional growth in storage/generation OEMs. Risks include delays in production ramp-up, investment in autonomous driving and unconventional governance under CEO Elon Musk.

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Investment Recommendation Record

(Article 3(1)e and Article 7 of MAR)

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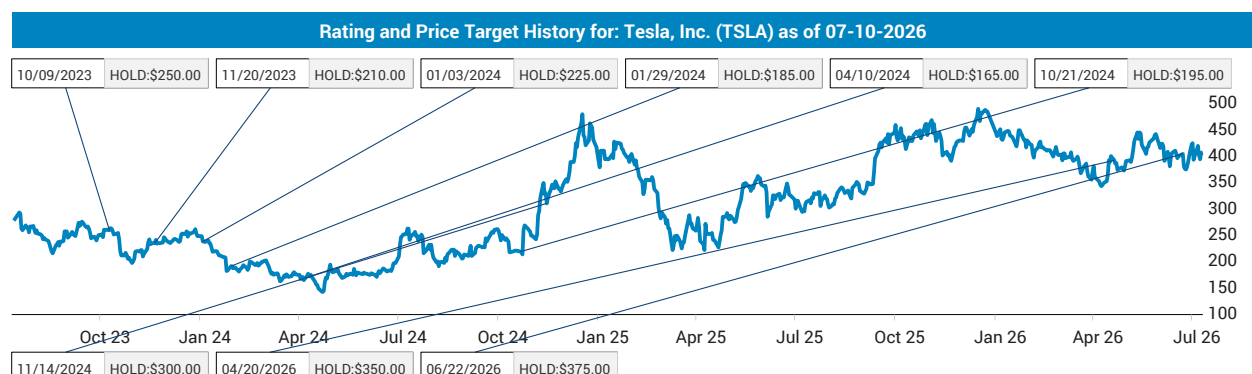
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Other Companies Mentioned in This Report

- Tesla, Inc. (TSLA: \$407.76, HOLD)



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Legend:

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D: Dropped Coverage

B: Buy

H: Hold

UP: Underperform

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	Count	Percent	Count	Percent
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